

# Case Study: UPI / Online Payment Fraud

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UPI (Unified Payments Interface) fraud is a common cybercrime in which criminals trick people into transferring money through digital payment apps such as Google Pay, PhonePe, or Paytm.

It usually occurs through social engineering, where fraudsters manipulate victims into authorizing payments themselves.

A common real-world pattern involves criminals pretending to be bank officials, customer support agents, or buyers from online marketplaces. For example, many incidents have been reported by the National Payments Corporation of India and the Reserve Bank of India warning users about UPI fraud.

The fraud typically happens in the following steps.

First, the scammer contacts the victim through a phone call, SMS, or social media and claims they need to “send money” or “verify an account.”

Second, the scammer sends a UPI collect request or asks the victim to scan a QR code.

Third, the victim is instructed to enter their UPI PIN, often believing they are receiving money or completing verification.

Finally, once the PIN is entered, the money is instantly transferred from the victim’s bank account to the fraudster.

The most common targets include online shoppers, small sellers on marketplaces, elderly users, and people unfamiliar with digital payment systems.

The consequences can be severe, including financial loss, emotional stress, and reduced trust in digital payment systems.

Since UPI transactions are instant, recovering the money is often difficult unless the victim quickly reports the fraud to the bank or cybercrime authorities.

Preventive measures such as never sharing UPI PINs and carefully verifying payment requests can help reduce such incidents.